IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CA(CAA)/22(CHE)/2022

(filed under Sections 230 to 232 of the Companies Act, 2013)

In the matter of *Scheme of Amalgamation*
Between

SAMRAT CHARITABLE FOUNDATION
(CIN: U85300TN2021NPL142472)
Represented by its Director
Mr. Tirumalai Srinivasan Varadarajan
Registered Office:
8, Aarthi Nagar, East Tambaram,
Chennai, Tamil Nadu – 600 059

... Applicant / Transferor Company-1

SRI MALOLA ACADEMY AND REDUX FOUNDATION
(CIN: U80302TN2021NPL147091)
Represented by its Director
Mr. Tirumalai Srinivasan Varadarajan
Registered Office:
8, Aarthi Nagar, East Tambaram,
Chennai, Tamil Nadu – 600 059

... Applicant / Transferor Company-2

SRI NRISIMHA PRIYA FOUNDATION
(CIN: U85300TN2021NPL142545)
Represented by its Additional Director
Mr. Vangal Jagannathan Santhanam
Registered Office:
8, Aarthi Nagar, East Tambaram,
Chennai, Tamil Nadu – 600 059

... Applicant / Transferor Company-3

SRI VISISHTADVAITA RESEARCH FOUNDATION
(CIN: U80301TN2021NPL146602)
Represented by its Director
Mr. Srinivasan Krishnaswamy
Registered Office:
8A, Aarthi Nagar, East Tambaram,
Chennai, Tamil Nadu – 600 059

... Applicant / Transferee Company

And
Their Respective Shareholders

Order Pronounced on 22nd July, 2022

CORAM:

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s) : S. Dhanapal, PCS
N. Ramanathan, PCS

ORDER

Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)

Under consideration is a joint application filed by the Applicant Companies, namely **SAMRAT CHARITABLE FOUNDATION** (for brevity "*Transferor Company-1*"), **SRI MALOLA ACADEMY AND REDUX FOUNDATION** (for brevity "*Transferor Company-2*"), **SRI NRISIMHA PRIYA FOUNDATION** (for brevity "*Transferor Company-3*"), and **SRI VISISHTADVAITA RESEARCH FOUNDATION** (for brevity "*Transferee Company*"), under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Composite Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is appended as "*Annexure -A17*" to the Company Application in CA/(CAA)/22(CHE)/2022. Accordingly, the Applicant Companies herein have sought the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY-1	To dispense with	To dispense with	To dispense with
TRANSFEROR COMPANY-2	To dispense with	To dispense with	To dispense with

TRANSFEROR COMPANY -3	To dispense with	To dispense with	To dispense with
TRANSFEREE COMPANY	To dispense with	To dispense with	To dispense with

2. Individual Affidavit verifying the Application is sworn for and behalf of the applicant Companies by their authorised representative viz., ***1. Mr. Tirumalai Srinivasan Varadarajan*** for Samrat Charitable Foundation and Sri Malola Acasemy and Redux Foundation, ***2. Mr. Vangal Jagannathan Santhanam*** for Sri Nrisimha Priya Foundation, ***3. Mr. Srinivasan Krishnaswamy*** for Sri Visishtadvaita Research Foundation along with the application and it is also represented that the Registered office of the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Chennai, Tamil Nadu.

3. From the averments made in the application and from the Certificate of Incorporation read with the Objects in the Memorandum of Association it is evident that the Applicant Companies are Private Companies limited by Guarantee registered under Section 8 of the Companies Act, 2013 without any share capital. Section 8 (10) of Companies Act, 2013 mandates amalgamation of Section 8 Company only with another section 8 company. Accordingly, the applicant companies are registered under section 8 of the Companies Act.

4. **SAMRAT CHARITABLE FOUNDATION (TRANSFEROR COMPANY-1)**

(i) There are **3** (**Three**) Members, the list of the members along with their Consent Affidavit is placed as *Annexure-A26* & *Annexure-A28* at page 251 & *between pages* 255-262 respectively in Volume-II of the typeset filed along with the application and seeks dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as *Annexure-A18* at page 228 of Volume-II of the typed set filed along with the application.

(iii) There is **NIL** Unsecured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as *Annexure- A22* at page 232 of Volume-II of the typed set filed along with the application.

5. **SRI MALOLA ACADEMY AND REDUX FOUNDATION (TRANSFEROR COMPANY-2)**

(i) There are **3** (**Three**) Members, the list of the members along with their Consent Affidavit is placed as *Annexure-A29* & *Annexure-A31* at page 263 & *between pages* 266-274 respectively in Volume-II of the typeset filed along with the application and seeks dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as *Annexure-A19* at page 229 of Volume-II of the typed set filed along with the application.

(iii) There are **2** (**Two**) Unsecured Creditors and the certificate along with the list issued by the Chartered Accountant to this effect is placed as *Annexure-A23* at page 233. The Consent Affidavit obtained from one of the unsecured creditor holding more than 90% of the unsecured credit is placed at page 234 of Volume-II of the typed set filed and seeks dispensation with holding of meeting.

6. **SRI NRISIMHA PRIYA FOUNDATION (TRANSFEROR COMPANY-3)**

(i) There are **2** (**Two**) Members, the list of the members along with their Consent Affidavit is placed as *Annexure-A32* & *Annexure-A34* at page 275 & *between pages* 278-283 respectively in Volume-II of the typeset filed along with the application and seeks dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as *Annexure-A20* at page 230 of Volume-II of the typed set filed along with the application.

(iii) There are **2** (**Two**) Unsecured Creditors and the certificate along with the list issued by the Chartered Accountant to this effect is placed as *Annexure-A24* at page 239. The Consent Affidavit obtained from one of the unsecured creditor holding more than 90% of the unsecured credit is placed at page 240 of Volume-II of the typed set filed and seeks dispensation with holding of meeting.

7. **SRI VISISHTADVAITA RESEARCH FOUNDATION (TRANSFEREE COMPANY)**

(i) There are **15** (**Fifteen**) Members, the list of the members along with their Consent Affidavit is placed as *Annexure-A35* & *Annexure-A37* at page 284 & *between pages* 289-333 respectively in Volume-II of the typeset filed along with the application and seeks dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed as *Annexure-A21* at page 231 of Volume-II of the typed set filed along with the application.

(iii) There are **4** (**Four**) Unsecured Creditors and the certificate along with the list issued by the Chartered Accountant to this effect is placed as *Annexure-A25* at page 245. The Consent Affidavit obtained from one of the unsecured creditor holding about 67.44% of the unsecured credit is placed at page 246 of Volume-II of the typed set filed and seeks dispensation with holding of meeting. Since, the available consent by way of Affidavit does not constitute the 90% requisite as specified in section 230(9) of the Act dispensation of meeting of unsecured creditors cannot be granted.

8. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

9. From the certificate of incorporation filed, it is evident that the Transferor Company-1 was incorporated on 26.03.2021 as a Company limited by guarantee without any share capital under the provisions of Companies Act, 2013. The registered office of Transferor Company-1 is located at 8, Aarthi Nagar, East Tambaram, Chennai, Tamil Nadu – 600 059.

10. From the certificate of incorporation filed, it is evident that the Transferor Company-2 was incorporated on 31.03.2021 as a Company limited by guarantee without any share capital under the provisions of Companies Act, 2013. The registered office of Transferor Company-2 is located at 8, Aarthi Nagar, East Tambaram, Chennai, Tamil Nadu – 600 059.

11. From the certificate of incorporation filed, it is evident that the Transferor Company-3 was incorporated on 14.10.2021 as a Company limited by guarantee without any share capital under the provisions of Companies Act, 2013. The registered office of Transferor Company-3 is located at 8, Aarthi Nagar, East Tambaram, Chennai, Tamil Nadu – 600 059.

12. From the certificate of incorporation filed, it is evident that the Transferee Company was incorporated on 29.09.2021 as a Company limited by guarantee without any share capital under the

provisions of Companies Act, 2013. The registered office of Transferee Company is located at 8A, Aarthi Nagar, East Tambaram, Chennai, Tamil Nadu – 600 059.

13. The Applicant Companies have filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2022.

14. The Boards of Directors of the Transferor and Transferee Company vide its meeting held on 21st February 2022 have unanimously approved the proposed Scheme as contemplated above and the copies of resolutions passed thereon have been placed on record by the applicant companies.

15. The Appointed date shall be ***17th January 2022*** as specified in the Proposed Scheme of Amalgamation.

16. The Statutory Auditors of the Applicant Companies have individually examined the Scheme in terms of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificate of the Statutory Auditors issued in this regard is placed between pages 334 -342 of Volume –II of the typed set filed along with the Company Application.

17. Upon consideration of the application filed by the Appliicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A. IN RELATION TO THE TRANSFEROR COMPANY-1:

(i) Since it is represented by the Transferor Company-1 that there are **3** members in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) It is represented by the Transferor Company - 1 that there is **NIL** Secured Creditors, the necessity of convening a meeting does not arise.

(iii) It is represented by the Transferor Company - 1 that there is **NIL** Unsecured Creditors, the necessity of convening a meeting does not arise.

B. IN RELATION TO THE TRANSFEROR COMPANY-2:

(i) Since it is represented by the Transferor Company-2 that there are **3** members in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) It is represented by the Transferor Company - 2 that there is **NIL** Secured Creditors, the necessity of convening a meeting does not arise.

(iii) Since it is represented by the Transferor Company-2 that there are **2** Unsecured Creditors in the Company out of which consents by way of Affidavit for more than 90% of the voting value has been obtained and is placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

C. IN RELATION TO THE TRANSFEROR COMPANY-3:

(i) Since it is represented by the Transferor Company-3 that there are **2** members in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) It is represented by the Transferor Company - 3 that there is **NIL** Secured Creditors, the necessity of convening a meeting does not arise.

(iii) Since it is represented by the Transferor Company-3 that there are **2** Unsecured Creditors in the Company out of which consents by way of Affidavit for more than 90% of the voting value has been obtained and is placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

D. IN RELATION TO THE TRANSFEREE COMPANY:

(i) Since it is represented by the Transferee Company that there are **15** members in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) It is represented by the Transferee Company that there is **NIL** Secured Creditors, the necessity of convening a meeting does not arise.

(iii) Meeting of Unsecured Creditors of the Transferee company is directed to be held on **28.08.2022 at 11:00 AM** at its registered office or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issuance of notices.

18. QUORUM FOR THE MEETING

The quorum for the meeting of the Unsecured Creditors of the Transferee Company shall be as follows;

	Unsecured Creditors
Transferee Company	**2**

i) The Chairperson appointed for the above said meeting of the Transferor and Transferee Company shall be **Mr. Jerin Asher Sojan** (Mobile No. 8075504970) and the alternate chairperson appointed for the above said meeting shall be Authorized Representative of the Transferee Company who have sworn in affidavit on behalf of the respective Applicant Company. The fee of the Chairperson for the aforesaid Equity Shareholder meeting of the Transferor Company shall be Rs. 30,000/- (consolidated) in addition to meeting their incidental expenses.

ii) **Mr. G.S. Sudhir** (Mobile No. 9445503208) is appointed as a Scrutinizer for meeting of the Transferee Company and would be entitled to fee of 25,000/- (consolidated) for services in addition to meeting incidental expenses. The Chairperson will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meetings of the Applicant Company is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted either by way of physical means or by video or other audio visual means enabled with e-voting as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Companies shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily *"Business Standard"* (All India Edition), and *"Makkal Kural" Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) Voting shall be allowed on the proposed Scheme by voting in person. The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, Official Liquidator in

respect of Companies, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

19. Accordingly, the Applications stand **Allowed** on the aforementioned directions.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Redt.) S.RAMATHILAGAM
MEMBER (JUDICIAL)